

Ares Management

A zero-to-technical deep dive on the firm, its business model, its insurance engine, and the two roles you are applying for — Investor Relations and Client Solutions.

\$671bn

AUM, Q2 2026

\$36.4bn

RAISED IN Q2 ALONE

93%

FEES FROM LOCKED
CAPITAL

200+

IN THE SALES TEAM

1997

FOUNDED

4,250

EMPLOYEES

2,850

INSTITUTIONAL CLIENTS

S&P 500

ADDED DEC 2025

Built from primary sources: Ares Management Form 10-K filings FY2019–FY2025 (SEC EDGAR, CIK 1176948) · 2025 Annual Shareholder Letter · Q2 2026 earnings call and slides · supplemented with market and trade press. Every figure is sourced; see Part 14.
Compiled 23 August 2026. Assumes no prior knowledge of private markets.

How to read this report

This is written for someone who has **never worked in private markets**. Part 1 builds the vocabulary from nothing. Parts 2–9 are the firm itself. Parts 10–12 are your roles and the application. Nothing here assumes you already know what an LP, a GP, a drawdown fund or a BDC is — those are all explained as they appear, and collected in the glossary at Part 13.

Three things to look out for. Boxes marked **EDGE** are facts most candidates will not have — they come from reading seven years of 10-K filings line by line, not from the careers page. Boxes marked **CAREFUL** are places where the popular narrative is wrong and repeating it would hurt you. Boxes marked **SAY THIS** are phrasings you can use more or less directly.

PART 1

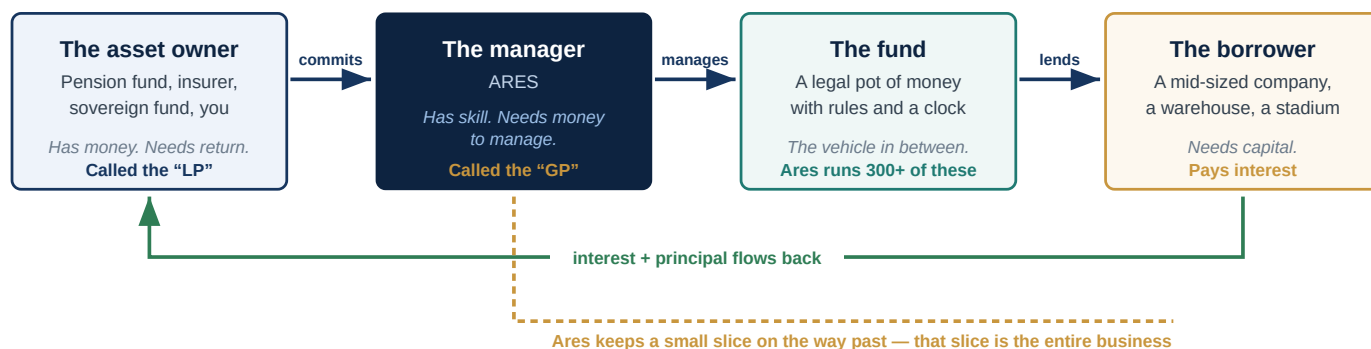
The industry from zero

What an alternative asset manager actually is, who pays it, and how it earns money.

Start with the only sentence that matters: **Ares is not an investor of its own money. It is a manager of other people's money, and it gets paid a percentage for managing it.** Almost everything else about the firm — its strategy, its structure, and the entire reason your role exists — follows from that one fact.

1.1 The four players

Every private markets transaction has the same four characters. Learn these four words and 80% of the jargon collapses.



The whole industry in one picture. LP = Limited Partner (the investor who commits money and has limited liability). GP = General Partner (the manager who runs the fund and makes the decisions). You will hear "LP" and "GP" constantly; they simply mean *client* and *us*.

THE ONE-LINE BUSINESS MODEL

Ares raises money from asset owners, puts it into funds, lends or invests it, and charges a percentage fee on the money it manages. It earns that fee **whether or not the fund has made a gain yet**. That is why the industry obsesses over one number — **AUM**, assets under management — and why a sales job here is a revenue job, not a support job.

1.2 Why does this industry exist at all?

Because banks retreated. After the 2008 financial crisis, regulation made it expensive for banks to hold risky loans to mid-sized companies on their balance sheets. Those companies still needed to borrow. At the same time, pension funds and insurers faced a decade of very low interest rates and could not hit their return targets in government bonds.

Private credit is the bridge between those two problems: money that needs yield, meeting borrowers that need capital, with a manager in the middle doing the underwriting the bank used to do. Ares' own 10-K describes its direct lending business as serving companies "increasingly underserved by traditional bank lenders." *Ares FY2025 10-K, Item 1.*

1.3 The two shapes of fund — and why this matters more than anything else

This is the single most important technical distinction in the report. Nearly every strategic decision Ares has made in the last six years comes back to it.

SHAPE A

The drawdown fund

The traditional model. Investors **commit** (say) \$100m but don't hand it over. Ares "calls" the money down as it finds deals. The fund invests for ~5 years, harvests for ~5, then **dies and returns the cash**.

The problem for Ares: the fee dies with the fund. Every few years you must go back and raise the successor fund — Fund IV, Fund V, Fund VI — or your revenue falls off a cliff. **This is a treadmill.**

SHAPE B

Perpetual capital

The modern model. The vehicle has **no end date**. Money comes in, stays in, and is reinvested indefinitely. Investors can ask to leave, but usually only a limited percentage per quarter.

Why Ares wants this: the fee never expires. Ares defines it precisely — capital that has "an indefinite term, is not in liquidation, and for which there is no immediate requirement to return invested capital." *FY2025 10-K glossary.*

This is an annuity.

EDGE · THE NUMBER THAT REFRAMES THE FIRM

93% of Ares' management fees in 2025 came from perpetual capital or long-dated funds (funds with a contractual life of five years or more at inception). It was 95% in 2024, 2023, 2022 and 2021. *FY2021–FY2025 10-Ks, "Management Fees By Type".*

Read that again. Roughly nineteen out of every twenty fee dollars Ares earns are contractually locked in for years or forever. This is the answer to "how are they surviving the fundraising slowdown" — and almost no other candidate will have it.

1.4 The three ways a manager gets paid

REVENUE TYPE	WHAT TRIGGERS IT	HOW IT WORKS AT ARES, SPECIFICALLY	RELIABILITY
Management fee	Simply having the money	A % of the fee base, charged whether the fund is up or down. Ares' rates by strategy: US & European direct lending 0.75%–1.50% ; opportunistic credit 1.50% ; corporate private equity 1.50% ; liquid credit 0.25%–1.00% ; insurance solutions 0.28% . <i>FY2025 10-K, fee table.</i>	VERY HIGH The bedrock
Performance fee carried interest	Realised profit above a hurdle	Typically the GP keeps ~20% of gains once investors have received their capital back plus a preferred return. Lumpy — depends on exits.	LOW Cyclical
Part I / Part II fees	Income earned each quarter	A quirk of credit vehicles. ARCC pays 20% of net investment income above a 1.75% quarterly hurdle; ASIF pays 12.5% above 1.25%. Because these are recurring and cash-settled quarterly, Ares classifies Part I fees as <i>management fees</i> , not performance fees. <i>FY2025 10-K.</i>	HIGH Recurring

SAY THIS

"What drew me to Ares specifically is the *quality* of the earnings, not just the size. Ninety-three percent of management fees come from perpetual or long-dated vehicles, and fee-related earnings were ninety-six percent of realised income last year. That tells me the firm is being run for durability rather than for a good vintage — and it means a client-facing role is compounding an annuity, not chasing a one-off close."

1.5 FRE, RI, FPAUM — the four acronyms in every Ares earnings call

AUM ASSETS UNDER MGMT Everything Ares manages. The headline vanity metric. \$671bn.	FPAUM FEE-PAYING AUM The subset actually paying a fee today. \$410bn.	FRE FEE RELATED EARNINGS Profit from fees alone, stripping out volatile performance income. The quality metric.	RI REALIZED INCOME FRE plus performance income actually banked in cash.
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**This is the real
number.**

Note the gap: **\$671bn AUM but only \$410bn fee-paying**. The \$261bn difference is money that is committed but not yet deployed, or in vehicles that don't charge on committed capital. Ares calls the fee-eligible portion of this "**AUM not yet paying fees**" or, informally, **shadow AUM** — and it is a growth engine hiding in plain sight.

EDGE · THE EMBEDDED GROWTH ARGUMENT

At 31 December 2025 Ares had **\$78.8bn of AUM available for future deployment plus \$4.3bn of development assets not yet stabilised**, which it states could "collectively generate approximately **\$730.4 million in potential incremental annual management fees**, which represents a **23% embedded growth rate** in our 2025 base management fees." *FY2025 10-K, MD&A*. By Q2 2026 AUM not yet paying fees had risen to \$114.0bn. In plain English: **Ares could stop raising a single new dollar tomorrow and still grow management fees by roughly a quarter** simply by deploying what it already holds.

PART 2

What Ares actually is

Founded 1997. A credit house that grew into a four-legged platform — and never stopped being a credit house.

2.1 The origin story, and why it still shapes the firm

Ares was founded in 1997 in Los Angeles by **Antony (Tony) Ressler**, **John Kissick** and **Bennett Rosenthal**. Ressler had co-founded **Apollo Management** in 1990 and ran its capital markets activities — high-yield bonds, leveraged loans, distressed debt — until leaving to start Ares. Rosenthal came from Merrill Lynch's global leveraged finance group. For its first five years Ares operated as effectively the West Coast credit affiliate of Apollo.

Two things follow from that history and both are worth saying out loud in an interview:

- **Ares is a credit firm by DNA, not by pivot.** Blackstone and KKR are private equity firms that later added credit. Ares started in leveraged finance. Its 10-K says every investment group employs "a disciplined, **credit-oriented** investment philosophy" — including the private equity and real estate teams.
- **It is not a New York firm.** Headquarters remain Los Angeles. Culturally this matters: Ares' stated values are "collaborative, responsible, entrepreneurial, self-aware and trustworthy," and the 10-K explicitly notes there is **no centralised investment committee** — committees are deliberately built with overlapping membership across groups.

2.2 Milestones

YEAR	EVENT	WHY IT MATTERED
1997	Firm founded	Credit-first identity established.
2004	Ares Capital Corp (ARCC) IPOs	Raised ~\$165m at \$15/share. ARCC becomes the largest publicly traded BDC and, twenty years on, still contributes ~31% of Credit Group management fees . <i>FY2025 10-K</i> .
2014	Ares Management IPOs (NYSE: ARES)	Raised \$216m at \$19/share with \$74bn AUM. The manager itself becomes a public company.
2020	SSG Capital (Asia) acquired	First real APAC footprint.
2021	Landmark Partners + Black Creek + AMP Capital	The transformational year — see Part 6.
2025	GCP International closes (1 Mar); added to S&P 500 (Dec)	\$3.7bn deal nearly doubles real estate AUM. Index inclusion is a credibility milestone.
2026	Record \$36.4bn raised in Q2 alone	Achieved in the worst private-credit sentiment environment since 2008.

2.3 The four investment groups

Ares organises itself into four **investment groups** plus a bucket called Other Businesses. Note how lopsided this is — and note that the lopsidedness is the point.

AUM by group, 31 Dec 2025 — \$622.5bn total



Bars are to scale. Source: Ares FY2025 Form 10-K, AUM rollforward by segment.

Two-thirds of Ares is credit. If someone asks "what is Ares?", the correct one-word answer is **credit** — and specifically **direct lending**, which alone is \$274.3bn, or 44% of the whole firm.

2.4 Inside the Credit Group — where the firm really lives

STRATEGY	AUM	PEOPLE	WHAT IT ACTUALLY DOES
US direct lending	\$189.6bn	225+ inv. pros	Lends directly to US mid-sized companies — typically \$10m to over \$500m of EBITDA — covering 520+ private equity sponsors . Wants to be lead or sole lender so it controls terms. Homes: ARCC (listed) and ASIF (non-traded).
European direct lending	\$84.7bn	100+ inv. pros	Same model in Europe: companies with €10m to over €250m EBITDA , covering 435+ sponsors . Ares is one of the two or three genuine scale players in Europe — a real moat.
Liquid credit	\$53.1bn	45+ inv. pros	Traded loans and high-yield bonds, plus CLOs. Low fee (0.25%–1.00%) but very sticky.
Alternative credit asset-based finance	\$48.1bn	85+ pros	Lending against <i>assets and cash flows</i> rather than companies — royalties, equipment, receivables, aircraft. The fastest-growing frontier. Home of the Pathfinder funds.
Opportunistic credit	\$19.8bn	35+ inv. pros	Stressed and distressed situations "in the void between traditional senior private debt and private equity." Highest fee rate at a flat 1.50%.
APAC credit	\$11.5bn	60+ inv. pros	Asia-Pacific direct origination. Smallest but strategically prioritised.

Source: Ares FY2025 Form 10-K, Item 1 — Credit Group. AUM includes vehicles managed by Ivy Hill Asset Management.

EDGE · THE SPONSOR-COVERAGE NUMBER

Ares covers **520+ private equity sponsors in the US and 435+ in Europe**. That is the real moat, and it is not a marketing claim — it is disclosed in the 10-K. Private equity firms buy companies and need debt to do it. If you are the lender that 955 sponsors already know, deal flow comes to you. In Q2 2026, **75% of Ares' US direct lending deployment went to companies already in the portfolio** — incumbency compounds. When a competitor and Ares bid on the same deal, Ares often already lent to the business.

PART 3

Follow the money: the insurance engine

From a retired person's monthly cheque, through an insurer, into an Ares fund, out to a company, and back again.

You asked for this specifically, and you were right to. **Insurance is the most important and least understood part of Ares' story** — and it is the part that most candidates will get factually wrong, because they will assume Ares works the way Apollo does. It does not.

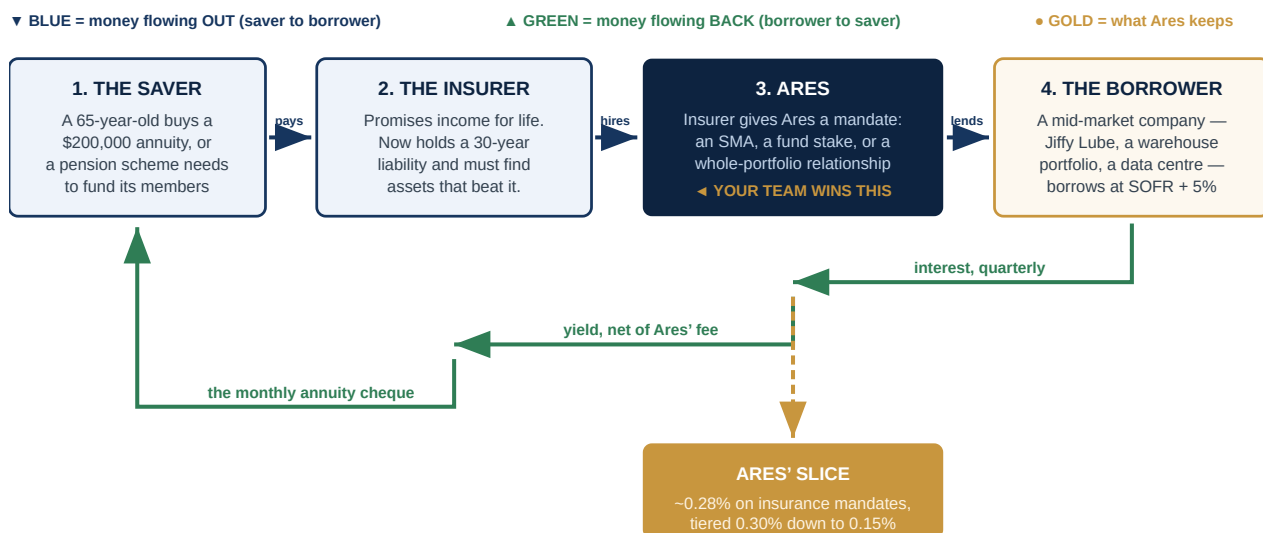
3.1 Why insurers are the perfect client for private credit

An insurer that sells **annuities** — a product where you hand over a lump sum and they promise you a fixed income for life — has a very specific problem. They have made a promise that runs for **thirty or forty years**, and they must hold assets that generate enough income to fund it. They need:

- **Long duration** — assets that pay out over decades, to match the liability.
- **Predictable income** — not capital gains; contractual coupons.
- **Yield above government bonds** — the spread between what they earn and what they promised is their profit.
- **Investment-grade-equivalent credit quality** — because regulators charge capital against risky assets.
- **They do not need liquidity** — nobody can demand their annuity back early.

That is an almost perfect description of a directly originated senior secured loan. Insurers can accept illiquidity — which is exactly what private credit charges a premium for. Roughly **\$1 trillion of the ~\$6 trillion held by US life and annuity insurers is now in private credit**.

3.2 The full flow, end to end



Why every party in the chain is better off — this is the answer to “is this just financial engineering?”

The saver

Gets a higher guaranteed income than a government-bond-only insurer could offer, and never sees any of this complexity.

The insurer

Earns a spread over what it promised, with assets whose duration matches its liabilities — without hiring 300 credit analysts.

Ares

Gets the stickiest capital in the industry. An insurer cannot redeem — it has a 30-year liability. Low fee rate, near-permanent life.

The borrower

Gets certainty of funding from one lender, in days not months, with terms tailored to it — which a syndicated bank loan can't.

Fee rates: Ares FY2025 Form 10-K management fee table — Ares Insurance Solutions earns a tiered fee starting at 0.30% stepping down to 0.15% of monthly weighted average market value.

The chain has four links and no villain. The reason this matters for your interview: when someone asks “what does Ares do?”, the sophisticated answer is not “it invests” — it is **“it converts long-dated liabilities into long-dated assets, and charges a fee for the underwriting in between.”**

3.3 How big is insurance at Ares, really?

The 10-K segment chart shows "Other Businesses" at just \$9.1bn, which badly understates it. The real number is disclosed in a footnote, and this is where the edge is.

\$86.5bn

TOTAL INSURANCE AUM

Money from insurance companies invested

across all

Ares strategies. Sits inside Credit, Real Assets etc — not in "Other".

\$25.9bn

MANAGED BY AIS

Ares Insurance Solutions' own mandate, of which \$16.9bn is sub-advised back into Ares vehicles.

+54%

INSURANCE FPAUM GROWTH

Year-on-year at Q2 2026 —

the fastest-growing channel in the entire firm.

The trend line is the story: insurance AUM was **\$56.9bn at end-2023, \$71.5bn at end-2024 and \$86.5bn at end-2025** — a 52% increase in two years. *FY2023, FY2024 and FY2025 10-Ks, Investment Groups footnote 2.*

CAREFUL · THE MISTAKE MOST CANDIDATES WILL MAKE

Ares does not run the Apollo model, and saying it does will expose you.

Apollo **owns** Athene. KKR **owns** Global Atlantic outright. Those firms put an insurance company's balance sheet on their own books: they capture the investment spread as well as a fee, but they also carry the insurance risk, the capital requirements and the ratings-agency scrutiny.

Ares deliberately went the other way. Its partner insurer, **Aspida**, is capitalised largely by **third-party money** — in January 2025 Ares announced it had raised **over \$2.3bn of equity commitments** for Aspida "from third parties, Ares and affiliates of Ares," on top of \$700m of credit facilities. Ares is treated by the Bermuda Monetary Authority as the "shareholder controller" of Aspida Re, and acts as its "dedicated investment manager, capital solutions and corporate development partner" — but the economics are structured to keep the balance sheet risk largely *off* Ares.

EDGE · ARES' OWN WORDS, AND THE PHRASE TO USE

The 2025 Annual Shareholder Letter, signed by Michael Arougheti and Antony Ressler, states: "*With more than \$150 billion in available capital matched with our **asset-light balance sheet approach**, we believe we are very well positioned for growth in the year ahead.*" "**Asset-light**" is the firm's own self-description. Use that phrase. It signals you have read the shareholder letter, not the website.

3.4 So where does Ares' resilience actually come from?

You asked whether the balance sheet is what has protected Ares. It is worth being precise, because the honest answer is more interesting than the assumed one.

THE PROTECTION	WHAT IT IS	THE EVIDENCE
Fee-base lock-in PRIMARY	Capital that legally cannot leave quickly, so fees survive a bad market.	93% of management fees from perpetual or long-dated funds; \$223.3bn of perpetual capital at Q2 2026, up 34% YoY.
Diversification PRIMARY	Four groups, ~38 products, so a freeze in one channel doesn't stop the firm.	2025 fundraising: \$66.9bn Credit, \$24.0bn Real Assets, \$12.9bn Secondaries, \$2.3bn PE, \$7.1bn Other.
Client stickiness PRIMARY	Existing clients re-upping and buying second and third products.	79% of 2025 institutional fundraising came from existing investors. Relationships up from 1,090 (2020) to 2,850 (2025).
Insurance capital REAL BUT INDIRECT	Not an owned balance sheet — but insurers as <i>clients</i> provide capital that structurally cannot run.	\$86.5bn of insurance AUM; insurance FPAUM +54% YoY.
Owned balance sheet NOT THE ANSWER	Ares explicitly runs "asset-light". This is Apollo's and KKR's protection, not Ares'.	2025 Annual Letter; Aspida funded with \$2.3bn of largely third-party equity.

SAY THIS

"I think Ares' resilience is often misattributed. It isn't an owned insurance balance sheet the way Apollo has Athene — Ares describes itself as asset-light. The protection is structural on the *fee* side: ninety-three percent of management fees come from perpetual or long-dated vehicles, so the revenue base doesn't reprice when sentiment turns. Insurance matters enormously, but as a *client* segment — eighty-six and a half billion of insurance AUM growing fifty-four percent — because an insurer with a thirty-year annuity book is the one client who structurally cannot redeem in a panic."

PART 4

How the firm's thinking changed, 2019–2026

Read seven annual reports back to back and the strategy shift is visible in the vocabulary, not just the numbers.

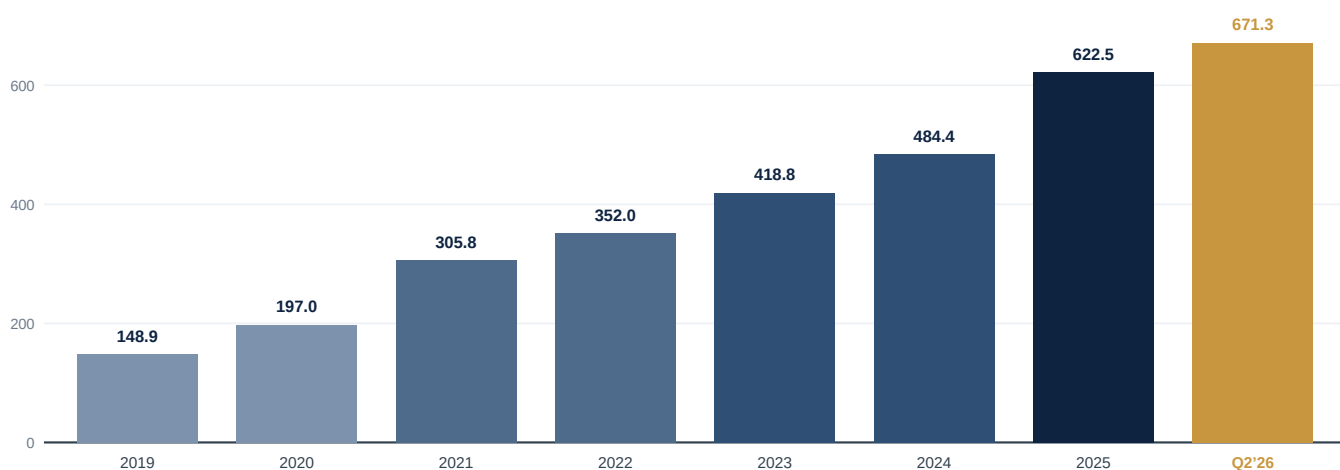
This section is built by reading the FY2019 through FY2025 Form 10-Ks line by line and tracking what changed. It is the part of this report you are least likely to be able to get anywhere else, and the part most likely to make a partner sit up.

4.1 The headline numbers

FISCAL YEAR	AUM	GROSS RAISED	VEHICLES	EMPLOYEES	OFFICES	INSTITUTIONAL RELATIONSHIPS
2019	\$148.9bn	\$23.8bn	75+	1,200+	20+	850+
2020	\$197.0bn	\$41.2bn	85+	1,450+	25+	1,090+
2021	\$305.8bn	\$76.8bn	135+	2,100+	40+	1,800+
2022	\$352.0bn	\$56.8bn	135+	2,550+	30+	1,900+
2023	\$418.8bn	\$74.5bn	125+	2,850+	35+	2,300+
2024	\$484.4bn	\$92.7bn	185+	3,200+	35+	approx. 2,700
2025	\$622.5bn	\$113.2bn	190+	4,250+	55+	2,850+
Q2 2026	\$671.3bn	\$36.4bn (qtr)	—	—	—	—

Every figure taken from the "Overview" paragraph of the relevant Form 10-K, Item 1. Q2 2026 from earnings release.

Assets under management, \$bn — a 4.5x increase in six and a half years

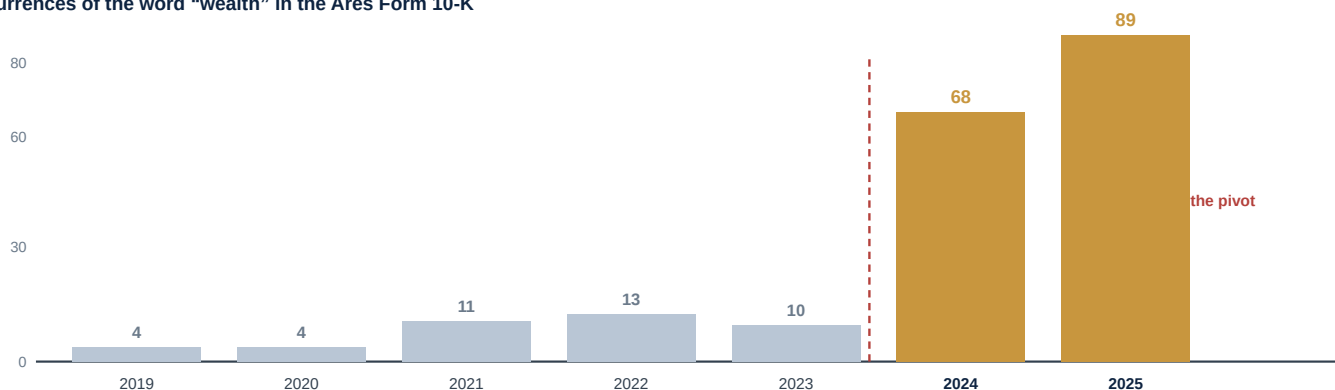


Source: Ares Form 10-K filings FY2019–FY2025; Q2 2026 earnings release. Ares reports a 26% five-year and 21% ten-year AUM CAGR.

4.2 The vocabulary shift — the finding that matters most

Counting how often a word appears in a legal document sounds trivial. It is not. A 10-K is drafted by lawyers and signed by the CEO; language changes only when management decides the business has changed. Here is what happened to the word "wealth":

Occurrences of the word “wealth” in the Ares Form 10-K



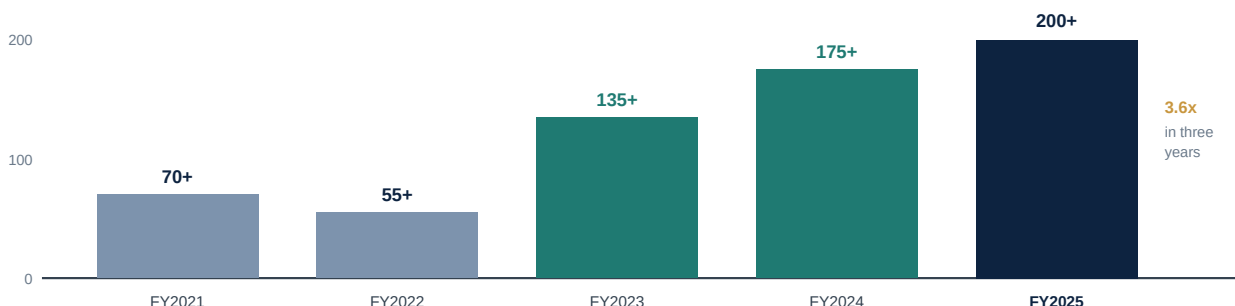
Author's count, full text of each Form 10-K. Over the same period the word “retail” fell from 24 (2023) to 10 (2024).

Between FY2023 and FY2024 the firm stopped saying “retail” and started saying “wealth.” That is not cosmetic. The FY2024 10-K also renamed the vehicles themselves — what had been “non-traded vehicles” in FY2023 became **“perpetual wealth vehicles”**. The firm re-labelled a channel it had treated as an accessory into a core, named, permanent pillar of the business.

4.3 The sales team was rebuilt — and this is your section

The 10-K discloses the size of the in-house relationship management team each year. Here is the series, **with an important caveat**: the definition changed. In FY2019 and FY2020 Ares disclosed a combined “strategy *and* relationship management teams” figure (~120 and ~140). From FY2021 it narrowed to the relationship management team alone. So the honest comparison runs from 2021 onwards:

In-house relationship management professionals — the client-facing sales team



Source: Ares Form 10-K FY2021–FY2025, Item 1 — Investor Base and Fundraising. Separately, Ares Wealth Management Solutions employs 175+ (FY2024) rising to 140–175+ professionals dedicated to the wealth

Ares grew its institutional client-facing team from **55+ to 200+ in three years** — while the wider industry was cutting distribution headcount. Separately, Ares Wealth Management Solutions employs **175+ professionals** covering the wealth channel. **Add them together and Ares has close to 400 people whose full-time job is raising and keeping capital.**

EDGE · WHY THE 2022 DIP IS THE INTERESTING BIT

The team *fell* from 70+ to 55+ in FY2022 — the year fundraising dropped from \$76.8bn to \$56.8bn as rates spiked. Then Ares tripled it. Management looked at the worst fundraising year of the period and concluded the answer was **more distribution, not less**. That is a genuine strategic conviction, and it is precisely why they are hiring into your team now. If you want one line that proves you understand where you'd be sitting, it is this one.

4.4 The structural shifts, in order

PERIOD	THE SHIFT	WHAT THE FILINGS SHOW
2019–2020	From three groups to a platform	FY2019 describes "three distinct but complementary investment groups in Credit, Private Equity and Real Estate." FY2020 adds "Strategic Initiatives." The firm starts thinking in terms of a platform rather than three funds.
2021	Buy the gaps	Three acquisitions in one year (Landmark, Black Creek, AMP Capital). AUM jumps 55% to \$305.8bn. "Secondary Solutions" appears as a named group. Headcount jumps from 1,450 to 2,100.
2022	Real <i>Estate</i> becomes Real Assets	A one-word rename that signals infrastructure is now co-equal with property. Also the year fundraising fell 26% — the stress test.
2023	Simplify to four	"Strategic Initiatives" disappears as a named group. Four clean groups: Credit, Private Equity, Real Assets, Secondaries. Relationship management team more than doubles to 135+.
2024	Retail becomes Wealth	The vocabulary pivot. "Perpetual wealth vehicles" enters the lexicon. Ordering of groups changes to Credit, Real Assets, Private Equity, Secondaries — credit and real assets promoted, PE demoted to third.
2025	Vertical integration and geography	GCP closes. Offices go from 35+ to 55+, countries from 15+ to 25+, staff from 3,200 to 4,250. Ares brands its own operating platforms — Marq Logistics (industrial property) and Ada Infrastructure (data centres). Capital Solutions Group formalised. S&P 500 inclusion.

SAY THIS

"If you read the 10-Ks back to back, there are two turns. The first is 2021 — Ares bought the capabilities it didn't have, Landmark for secondaries and Black Creek and AMP for real assets. The second is 2024, and it's a language change: 'retail' becomes 'wealth', and non-traded vehicles get renamed 'perpetual wealth vehicles'. That's the firm deciding the individual investor is a permanent pillar rather than an experiment. Both turns point the same way — toward distribution being the constrained resource. Which is presumably why the relationship management team went from fifty-five people to over two hundred in three years."

PART 5

The product shelf

Every fund you could plausibly be asked about, what it raised, and how it has performed.

Think of Ares as a shop. Part 2 showed the departments; this is the inventory. You will not be expected to know all of it — but knowing five funds by name, vintage and size puts you ahead of essentially every other applicant.

5.1 The flagship perpetual vehicles — the fee annuities

VEHICLE	STRATEGY	STARTED	AUM	NET RETURN	WHY IT MATTERS
ARCC Ares Capital Corp (Nasdaq)	US direct lending	2004	\$35.9bn	12.0% s.i.	The largest publicly traded BDC. ~31% of all Credit Group management fees. Twenty-one years of track record — the single most valuable sales asset the firm owns.
ASIF Ares Strategic Income Fund	US direct lending	2023	\$24.3bn	10.9% s.i.	The non-traded BDC — the flagship wealth product. Went from zero to \$24bn in under three years. Also the source of the 2026 redemption story (Part 9).
CADC	US direct lending	2017	\$8.7bn	7.0% s.i.	Institutional direct lending vehicle.
Open-ended core alternative credit fund	Alternative credit	2021	\$7.5bn	8.8% s.i.	Perpetual asset-based finance. Ares donates 5% of its incentive fees here to charity.
Open-ended European direct lending fund	European DL	2024	\$6.4bn	9.6% s.i.	Newest perpetual — \$6.4bn in under two years shows the machine working.
Industrial non-traded REIT	Real estate	2017	\$7.6bn	8.5% s.i.	The real estate perpetual complex. The J-REIT is Tokyo-listed and has returned 13.3% since inception — evidence Ares' Japan business predates GCP.
J-REIT (Japan)	Real estate	2012	\$7.5bn	13.3% s.i.	
Diversified non-traded REIT	Real estate	2012	\$7.4bn	6.5% s.i.	
APMF	PE secondaries	2022	\$5.0bn	14.2% s.i.	Best since-inception net return of the perpetual set.

"s.i." = annualised since inception, net of fees. Source: Ares FY2025 Form 10-K, Fund Performance Metrics tables, as at 31 December 2025. Past performance is not indicative of future results.

5.2 The drawdown funds — the ones you raise, close and repeat

FUND	STRATEGY	VINTAGE	AUM	COMMITMENTS	NET MOIC	NET IRR	STAGE
SDL III Senior Direct Lending III	US direct lending	2023	\$27.4bn	\$15.3bn equity \$33.6bn total base	1.1–1.2x	9.6– 17.3%	Deploying
ACE VI Ares Capital Europe VI	European DL	2022	\$24.7bn	\$7.4bn unlev. \$9.7bn lev.	1.1–1.2x	8.8– 13.2%	Deploying
ACE V	European DL	2020	\$17.4bn	\$7.0bn / \$6.4bn	1.3–1.4x	7.5– 10.3%	Harvesting
SDL II	US direct lending	2021	\$16.3bn	\$2.0bn / \$6.0bn	1.2–1.3x	8.9– 13.3%	Harvesting
ASOF II Special Opportunities II	Opportunistic credit	2021	\$9.1bn	\$7.1bn	1.3x	13.1%	Deploying
Pathfinder II	Alternative credit	2023	\$7.2bn	\$6.6bn	1.2x	15.3%	Deploying
PCS II Private Credit Solutions II	US direct lending	2020	\$6.5bn	\$5.1bn	1.3x	9.2%	Deploying
ACE IV	European DL	2018	\$5.2bn	\$2.9bn / \$4.8bn	1.3–1.4x	5.7–7.7%	Harvesting
LEP XVI	PE secondaries	2016	\$4.1bn	\$4.9bn	1.2x	8.6%	Harvesting
EIP II	European logistics	2020	\$4.1bn	\$1.8bn	1.1x	2.4%	Harvesting

Where two figures are shown, they are the unlevered and levered sleeves of the same fund. "MoIC" = multiple of invested capital. Source: FY2025 10-K Fund Performance Metrics, 31 Dec 2025.

EDGE · READ THE LADDER, NOT THE ROWS

Look at the European direct lending series: **ACE IV (2018) \$2.9bn → ACE V (2020) \$7.0bn → ACE VI (2022) \$7.4bn**, with fund AUM rising \$5.2bn → \$17.4bn → \$24.7bn. **That ladder is the single best illustration of what your job produces.** Each successor fund is larger because the previous one performed and because the relationship team converted more of the existing base and added new investors. In 2025, **79% of institutional fundraising came from existing investors**. The job is compounding a book, not cold-calling.

PART 6

Strategic moves: what Ares bought, and why

Ares' growth is roughly half organic, half acquired. The pattern behind the deals is very consistent.

YEAR	TARGET	PRICE / SIZE	WHAT IT BOUGHT	THE STRATEGIC LOGIC
2020	SSG Capital Holdings	~\$6bn AUM	Asia-Pacific credit and special situations	Ares had almost no APAC presence. Bought a platform rather than building one. Today APAC credit is \$11.5bn.
2021	AMP Capital infrastructure debt	Controlling stake	Infrastructure debt team	Added a genuinely new asset class. Infrastructure is now \$25.3bn.
2021	Landmark Partners	~\$1.08bn \$19.6bn AUM	Secondaries — PE, real estate, infrastructure	Created the Secondaries Group from nothing. Now \$42.1bn and the highest-margin growth segment : FRE up 65% in 2025 on management fees up 40%.
2021	Black Creek Group	\$23.3bn assets built/bought	US industrial and core real estate; two non-traded REITs	Bought the wealth distribution machine as much as the property. The non-traded REITs became the template for the perpetual wealth strategy.
2024	Walton Street Mexico	\$2.1bn AUM	Mexican industrial real estate	Nearshoring thesis: manufacturing moving from Asia to Mexico needs warehouses.
2025	GCP International from GLP Capital Partners	\$3.7bn + up to \$1.5bn earn-out	\$44bn AUM in logistics, digital infrastructure, self-storage — ex-China	The largest deal in Ares' history. Nearly doubled real estate AUM to ~\$96bn , added 470 investment professionals and 13 new metro areas, and made Ares the third-largest global owner-operator of logistics property .

THE PATTERN — SAY THIS IF ASKED ABOUT M&A

Ares does not buy competitors to buy market share in what it already does. **Every single acquisition added a capability Ares did not have** — a geography (SSG, Walton Street), an asset class (AMP, Landmark), or a distribution channel (Black Creek). The GCP deal added all three at once. The CEO's own filter, stated on the Q2 2026 call, is that a deal must be *"culturally accretive, strategically accretive, and financially accretive."* Contrast that with buying a rival direct lender — which Ares has never done, because it already has the scale there.

6.1 Vertical integration: the newest idea

The 2025 shift is subtler than an acquisition. Ares has started **operating** assets, not just financing them, and it has given the operating businesses their own brands:

Marq Logistics

The consolidated global brand for Ares' industrial property platform, formed after GCP. Ares owns, develops and operates warehouses across the Americas, Europe and APAC — it is not merely a landlord-by-proxy.

Ada Infrastructure

The in-house data centre development and operating platform, staffed with people from hyperscalers. As of Q2 2026 it has **approximately 1 gigawatt of compute capacity** across seven large campuses. Ares raised its **first data centre development fund at \$2.4bn** in 2025.

Why this matters commercially: an integrated owner-operator captures development profit, operating margin *and* the management fee, rather than just the fee. The 2025 letter says it "increases our ability to control value creation through the full investment lifecycle." For a client-facing role, it is also a **differentiated story to sell** — you are not offering exposure to data centres, you are offering exposure to a team that builds and runs them.

PART 7

Recent wins: closes, deals and client outcomes

Specific, nameable, recent. These are your ammunition.

7.1 Fund closes — the "client success stories" you asked for

CLOSE	DATE	SIZE	THE STORY — WHY IT IS IMPRESSIVE IN <i>THIS</i> MARKET
Ares Pathfinder Fund III asset-based finance	Jun 2026	\$8.5bn	Target was \$6.5bn. Closed oversubscribed at a raised hard cap , and held its first and final close in under six months from a January 2026 launch. Described as the largest global ABF fund in the market . Including related vehicles, the Pathfinder strategy raised ~\$12.7bn in nine months . This happened during the worst private-credit sentiment in years .
SDL III US senior direct lending	2024–25	\$33.6bn total capital base	~\$15.3bn of equity commitments plus leverage and related vehicles. Among the largest direct lending funds ever raised anywhere.
Japan Industrial Development Fund V	2026	\$3.4bn	Beat the prior vintage's \$2.5bn by 36% — proof the GCP Japan platform is compounding, not just consolidating.
First data centre development fund	2025	\$2.4bn	A brand-new product line raised from a standing start.
Sports, Media & Entertainment I	2022	\$3.7bn	Target was \$1.5bn; closed at more than double, oversubscribed. Fund II held a \$1bn first close toward a \$2bn target.

7.2 Named transactions

Ares disclosed these as selected Q2 2026 US direct lending transactions, where it acted as administrative agent, lead arranger and/or bookrunner supporting private equity sponsors:

AeriTek · Atwell · Frontline Road Safety · Jiffy Lube · MAI Capital Management · Precinmac · Relation Insurance · Sunvair Aerospace Group · Valcourt Group, plus growth financing for Firebird Music.

Use Jiffy Lube. It is the one name a non-specialist interviewer will recognise instantly, and it makes the abstraction concrete: "Ares lends to businesses like Jiffy Lube — real, cash-generative, mid-sized companies that a bank would once have syndicated."

On the sports side, the SME fund has committed capital across 19 portfolio companies including **Atlético de Madrid**, the **San Diego Padres**, **McLaren Racing** and **Inter Miami CF**, with further stakes reported in the **Miami Dolphins** and **Chelsea FC**. This is the single easiest Ares product to talk about with genuine enthusiasm, and it is a real business — not a vanity line.

7.3 Scale of activity

\$55.0bn US DIRECT LENDING 2025 Across 358 transactions — a record year.	\$52.3bn TRAILING 12M TO Q2'26 \$8.2bn closed in Q2 2026 alone.	\$145.8bn DEPLOYED IN 2025 Up from \$106.7bn in 2024.	\$170.0bn DRY POWDER, Q2'26 Available capital, up 13% YoY.
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EDGE · THE DEAL NOBODY WILL MENTION

In July 2026 Ares moved to sell roughly **\$3.4bn (€3bn) of bundled limited partner interests in ACE IV**, its fourth European direct lending vintage, to credit-secondaries buyers — reported as potentially one of the largest private credit secondaries sales ever. Why it is clever: ACE IV is a 2018 fund in harvest mode. Rather than wait years for it to wind down, Ares is helping create liquidity for investors who want out — **and Ares also runs a credit secondaries business that buys exactly these assets**. It is a firm solving its own clients' liquidity problem using another of its own products. If you can articulate that, you are talking like someone who works there.

The competitive set

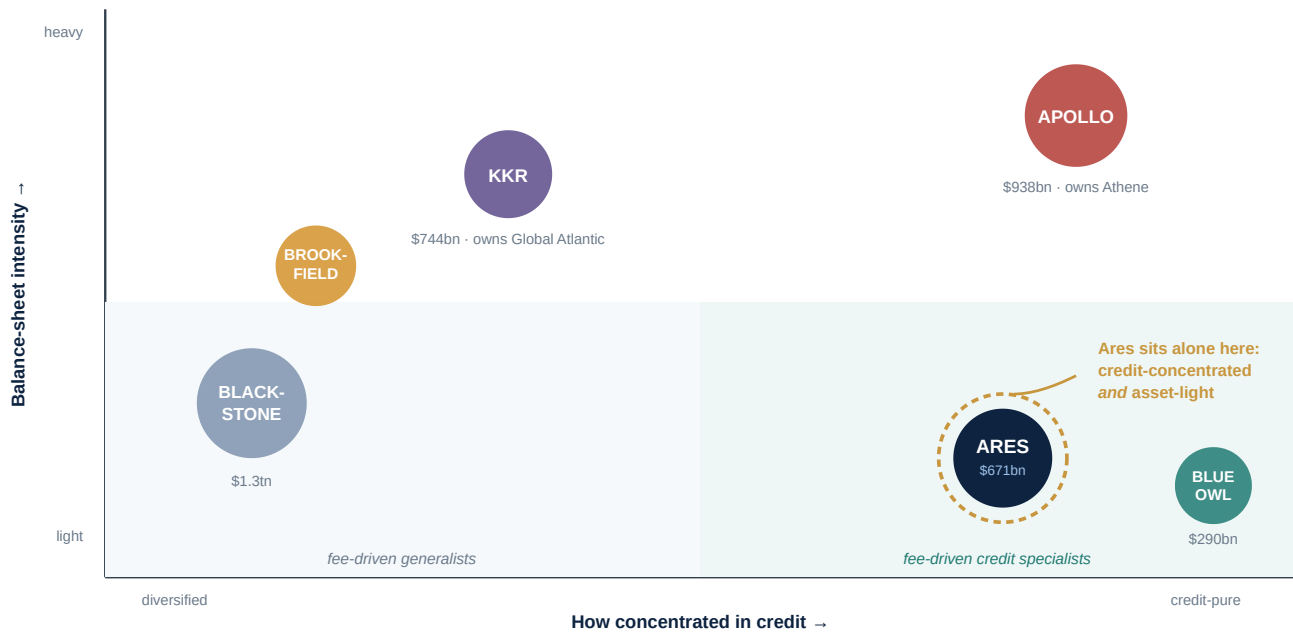
Who Ares is measured against, and the one thing it genuinely does differently.

8.1 The scoreboard

FIRM	AUM	IDENTITY	INSURANCE MODEL	HOW ARES DIFFERS
Blackstone	~\$1.3tn	The everything-store. Real estate first, then credit, then everything.	Partner/manage; no owned life insurer at Apollo's scale.	Blackstone is broader and more brand-led. Ares is deeper in one thing — credit is 65% of Ares vs a minority of Blackstone.
Apollo	~\$938bn	Credit + insurance conglomerate. Increasingly a lender competing with banks.	Owns Athene outright. Balance-sheet heavy.	Apollo has ~86% of fee-earning assets in credit and captures the spread. Ares takes fees only — lower earnings per dollar, but far less balance-sheet risk.
KKR	~\$744bn	Private equity house that added credit, infra and insurance.	Owns Global Atlantic (100% since Jan 2024).	KKR is PE-led (~48% of fee assets in credit). Ares' PE is only 4% of AUM — Ares is not really competing for the same buyout mandates.
Ares	~\$671bn	Credit specialist at scale, plus real assets.	Asset-light. Manages insurer money; Aspida largely third-party funded.	—
Blue Owl	~\$290bn	The purest direct lending + GP-stakes play.	Growing insurance solutions arm.	Blue Owl is more concentrated in US direct lending and has been hit hardest by 2026 redemptions (see 9.3). Ares is more diversified across geography and asset class.
Brookfield	~\$603bn fee-bearing	Real assets and infrastructure first.	Owns Brookfield Wealth Solutions.	Different centre of gravity. Overlaps with Ares only in real assets.

AUM figures are approximate and drawn from 2026 market reporting; measurement bases differ between firms (Brookfield reports fee-bearing capital). Credit-concentration figures: Apollo 86% of fee-earning assets / 72% of base fees; Ares 66% / 65%; Blue Owl 53% / 61%; KKR 48% / 30%.

8.2 The positioning map



Bubble size approximates AUM. Positions are illustrative, based on disclosed credit concentration and insurance ownership structure.

The quadrant is the argument. Every other firm at Ares' scale that is this concentrated in credit has bought an insurance balance sheet to feed it. Ares is the largest firm that has stayed fee-only while going all-in on credit.

IF ASKED: "WHAT MAKES ARES DIFFERENT?" — THE ONE DISTINCT THING

Most candidates will say "scale" or "culture." Both are true and both are forgettable. Here is the sharper answer, and it has three layers:

- 1. Ares is the scale leader in the two hardest direct lending markets simultaneously.** Plenty of firms are large in US direct lending. Very few are genuinely scaled in *European* direct lending, because it requires local teams in multiple legal and language jurisdictions. Ares has **\$189.6bn in the US and \$84.7bn in Europe**, covering 520+ and 435+ sponsors respectively. That two-continent scale is close to unreplicable, and it is why a European sponsor calls Ares.
- 2. It got there without an owned insurance balance sheet** — so its earnings are fee-based and the risk sits with clients' capital, not Ares'.
- 3. And it is vertically integrated in real assets** through Marq and Ada, which almost no credit-led peer is. Scale in credit, asset-light in structure, operator in real assets: that combination is genuinely unique.

The market right now — and why it is still a good time to join

An honest read of the private credit slowdown, what it is doing to Ares, and the argument for going in anyway.

You asked for macro news on fundraising, and specifically whether it is still a good time to want this role. The honest answer is **yes, but not for the reason most people give** — and being able to discuss the stress credibly will do more for you than pretending it isn't there.

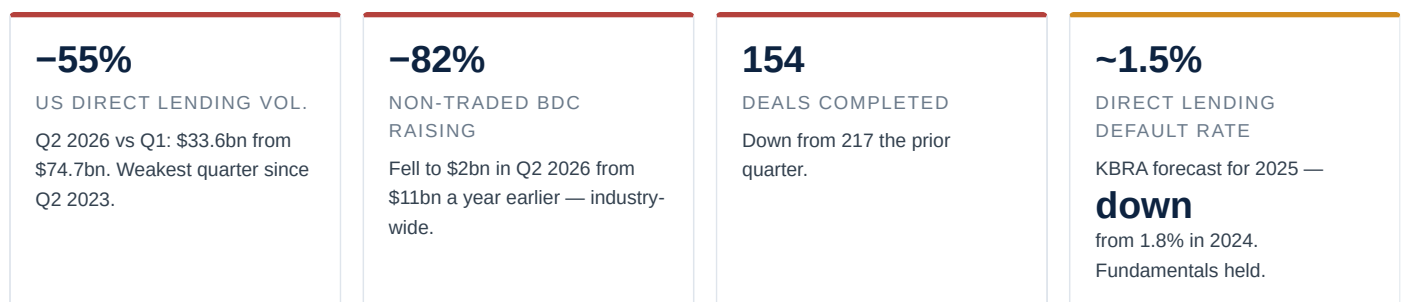
9.1 What actually happened

Private credit had a decade-long boom. In late 2025 two bankruptcies punctured the confidence:

- **Tricolor**, a subprime auto lender, filed in September 2025 after investigators found it had **pledged the same auto-loan collateral to multiple lenders**. Lenders were owed more than \$900m.
- **First Brands**, an auto parts supplier, collapsed with **\$11.6bn of liabilities** amid creditor allegations of fabricated receivables, double-pledged inventory and diverted cash.

Neither was a credit-cycle event. Both were **fraud**. Cambridge Associates' assessment is that they are idiosyncratic rather than systemic. But markets do not distinguish carefully in the moment, and the effect was a broad loss of confidence in an asset class that had never been stress-tested at its current size.

9.2 The numbers on the slowdown

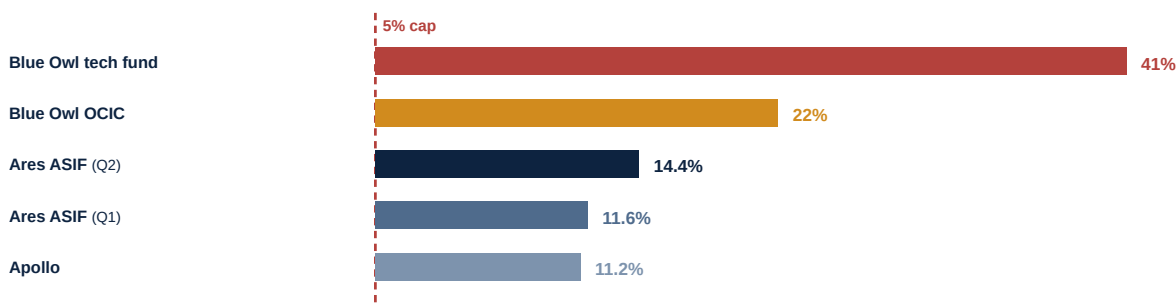


Note the tension in those four boxes: **activity and sentiment collapsed, but credit performance did not**. That gap is the whole investment case, and it is the gap Ares is exploiting.

9.3 The redemption story — including the bit that is bad for Ares

The clearest symptom of stress is investors asking for their money back from non-traded vehicles. These funds cap withdrawals at ~5% of shares per quarter, so when requests exceed that, they are pro-rated. Requests in 2026:

2026 redemption requests as a % of shares outstanding, against the standard 5% quarterly cap



Read it this way: the whole sector is under pressure. Ares is squarely in the middle of the pack — materially better than Blue Owl, roughly level with Apollo.

Source: 2026 market reporting on quarterly tender offers. All funds shown capped repurchases at 5%.

CAREFUL · DO NOT CLAIM ARES IS IMMUNE

Ares has pro-rated two consecutive quarterly tenders at ASIF. In Q1 2026 requests hit 11.6% against the 5% cap — 43.1% of each request was honoured, paying out \$523.5m. In Q2 requests rose to 14.4%. If you walk in saying Ares has been untouched, an informed interviewer will correct you, and you will lose the room.

Say the nuanced version instead — because the detail is genuinely favourable. Ares disclosed that repurchase requests from its **US private wealth channel** — **the largest part of ASIF's investor base** — **were only 2.4% of shares outstanding, a fall of more than 35% quarter on quarter.** Nearly **half** of all redemption requests came from smaller non-US institutions and family offices which represent **less than 1% of the fund's 20,000+ shareholders.** Management's summary: roughly **95% of the BDC's investor base did not want to redeem.** The pressure was concentrated in a thin, non-core, largely offshore tail.

9.4 What Ares did while the market froze

The counter-evidence

- **Record \$36.4bn raised in Q2 2026** — the best quarter in firm history, in the worst quarter for sentiment.
- **~\$66bn raised in H1 2026.**
- **Pathfinder III closed oversubscribed at \$8.5bn** against a \$6.5bn target, in under six months, while non-traded BDC fundraising industry-wide fell 82%.
- **FRE up 20% to \$491m;** FRE margin 42.3% YTD, ~100bps above prior year.
- **Dividend raised over 20%** to \$1.35/quarter.
- **Insurance FPAUM +54% YoY** — the firm's fastest-growing channel.

The pressure points

- Two consecutive pro-rated tenders at ASIF.
- ARES shares down ~15% in 2026 — worse than Apollo and Blackstone (~12%), better than Blue Owl (~18%).
- Q2 revenue of \$1.26bn **missed** consensus of \$1.32bn.
- The FY2025 10-K itself concedes "increased negative publicity with respect to the private credit industry" following "certain high profile defaults and bankruptcies," while noting Ares "**has not been involved in those particular defaults.**"
- Wealth channel gross commitments of \$3.9bn grew only 15% YoY — decelerating.

9.5 The three reasons this is a good time to join — in sales specifically

1 Distribution is the scarce resource, so distribution is where the hiring is

When money was easy, product raised itself and the constraint was deployment. Now capital is the constraint, which makes the people who source capital the constraint. Ares has already voted with its headcount: **55+ to 200+ relationship managers in three years, plus 175+ in wealth.** In a market where capital is hard to raise, a firm that just posted a record raise is the firm you want to be selling for — you are joining the platform that is *taking* share, not defending it.

2 The cross-sell opportunity is enormous and explicitly stated

From the 2025 Annual Letter: Ares ended the year with **eight semi-liquid products** and at least one product on **more than 80 global platforms** — but "**nearly half of our global distribution partners currently offer just one Ares product, highlighting the substantial opportunity to broaden our footprint within established partnerships and unlock incremental growth.**" **That sentence is a job description.** Roughly half the firm's distribution relationships are single-product. Widening them does not require winning new clients — it requires someone who knows the shelf and the relationship. That is exactly what a Client Solutions analyst grows into.

3 Selling into a downturn is where you actually learn the job

Anyone can raise capital in 2021. Learning to raise it in 2026 — when your client has read the First Brands headlines and wants to know why your non-accruals are different — forces you to understand the product properly. And Ares' answer is strong: **US direct lending non-accruals under 2%, the non-traded BDC at 0.5%, portfolio EBITDA growth of 9% and 13% respectively**. Meanwhile the CEO notes the deployment environment has improved: *"spreads have widened, less competition and therefore, an ability to deploy maybe quicker and better returns."* Fewer lenders competing means better loans. The vintage being written now may be one of the best.

SAY THIS — THE FULL ANSWER TO "WHY NOW?"

"I know I'd be joining private credit at its first real test, and I think that's the argument for rather than against. The dislocation is a sentiment and liquidity event, not a credit event — Ares' US direct lending non-accruals are under two percent and portfolio EBITDA is still growing nine percent. Meanwhile the industry raised eighty-two percent less in non-traded BDCs last quarter and Ares had its largest fundraising quarter ever at thirty-six billion, and closed Pathfinder III oversubscribed at eight and a half billion against a six and a half billion target. When capital gets scarce, the constraint on the firm moves from deployment to distribution — which is precisely the team I'm applying to. And I'd rather learn to tell this story in a hard market than an easy one."

Your two roles: where they sit and what they actually do

Investor Relations vs Client Solutions — the real difference, the reporting line, and the day-to-day.

10.1 First, answer your own question: are these roles closer to product or to sales?

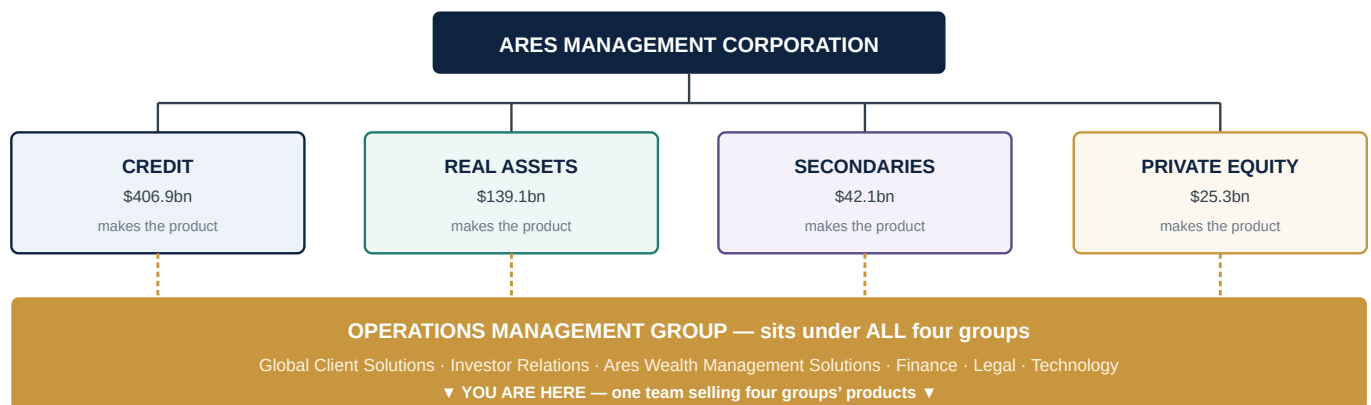
You asked whether these teams sit nearer the investment side (implying the firm prioritises product) or the sales side (implying it prioritises distribution). **The 10-K answers this directly, and the answer is unusually clean.**

EDGE · THE STRUCTURAL FACT ALMOST NOBODY WILL KNOW

Ares reports its financials in five buckets: the four investment groups, plus the **Operations Management Group (OMG)**. The 10-K states that the OMG provides support in "accounting/finance, operations, information technology, legal, compliance, human resources, **strategy and relationship management, and distribution, including AWMS.**"

So **Client Solutions, relationship management and wealth distribution sit in the OMG — not inside any investment group.** And critically: "*The OMG's revenues and expenses are **not allocated to our operating segments.***" The function is deliberately **horizontal** — it sits across all four investment groups rather than reporting into one.

Where you would sit in the Ares operating structure



The structural implication: because you sit above the products rather than inside one, your job is inherently *cross-platform*. You are not the Credit salesperson. You are the person who owns the **client** — and sells whichever of the four groups fits what that client needs.

WHAT THIS MEANS — THE ANSWER TO YOUR QUESTION

Ares does **not** organise distribution product-by-product. It organises it **client-by-client**, as a firm-wide function. That is a deliberate choice and it tells you two things. **First**, the firm prioritises the *relationship* as the asset — consistent with 79% of fundraising coming from existing investors and with the stated goal of widening single-product partners. **Second**, it means the role has unusual breadth for a graduate: you learn credit, real estate, infrastructure, secondaries and private equity, because your client might buy any of them. A product-embedded sales role at a competitor teaches you one asset class.

10.2 The OMG is not a cost centre being squeezed — it is being funded

\$808.2m

OMG COST, 2025

Up 30% from \$620.9m in 2024 — the firm is spending materially more on this function.

42.3%

FRE MARGIN, YTD Q2'26

Up ~100bps YoY

despite

that spend. Growth is outrunning cost.

2,550+

OMG PROFESSIONALS

vs 1,650+ investment professionals.

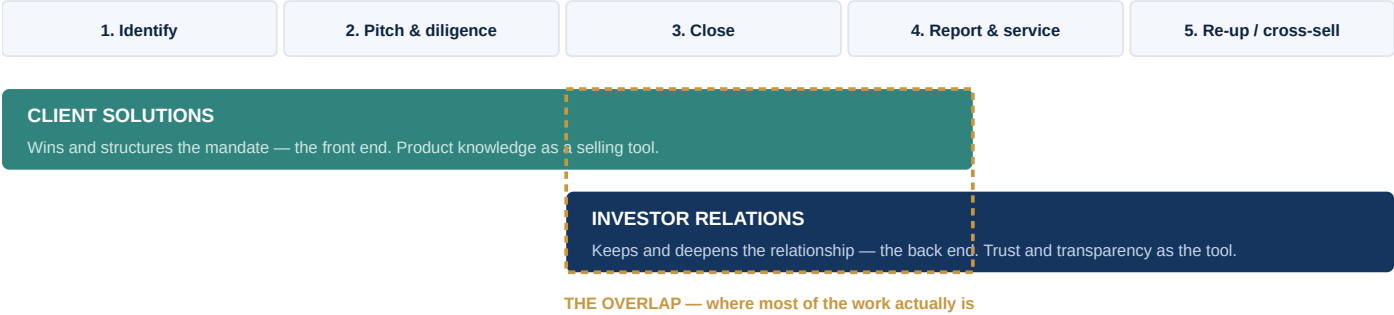
The non-investment side is the larger half of Ares.

That last statistic is worth pausing on. **Ares has more people in the Operations Management Group than in its investment groups.** If you have any anxiety that a non-investment role is a second-class seat at an investment firm, the headcount says otherwise — and so does the fact that the 10-K names "institutional fundraising" as one of the three destinations of its formal internship programme, alongside investment and wealth management.

10.3 Investor Relations vs Client Solutions — the real distinction

At many firms these titles are used interchangeably. At Ares they sit within the same broad group — the London summer analyst programme lists the division as **"Investor Relations and Global Client Solutions"** — but they are different jobs, and the distinction is worth getting right because it will almost certainly be asked.

The client lifecycle, and who owns which part



Why the overlap matters:

Because 79% of Ares' 2025 institutional fundraising came from **existing** investors, stage 5 feeds straight back into stage 2. At Ares the "retention" job and the "raising" job are the same job for four fifths of the money. That is why the teams sit together, and why applying to both is sensible rather than indecisive.

DIMENSION	INVESTOR RELATIONS	CLIENT SOLUTIONS
Core question	"Is our existing investor well-informed, well-served and likely to come back?"	"Which investor should own which of our products, and how do we get them there?"
Primary output	Quarterly reports, capital account statements, capital call and distribution notices, LP meetings, ad-hoc investor queries, annual investor conference.	Pitch materials, RFPs and DDQs, product positioning, fund launch campaigns, consultant relationships, competitive analysis.
Clock they run on	External and immovable. Quarter-end reporting deadlines set by fund documents. Audit dates. Regulatory filings. If it's late, the client notices.	Campaign-driven. Fund launch dates, first close and final close targets, RFP submission deadlines set by the client.
Who they answer to	The LP, plus internal fund accounting, legal and the investment teams who supply the commentary.	The prospect or consultant, plus the investment team whose product is being sold and whose time is being asked for.
Measured on	Retention, re-up rates, satisfaction, error-free and on-time reporting, speed of query resolution.	Capital raised, number of new relationships, products per client, RFP win rate, pipeline conversion.
The graduate reality	Heavy on accuracy and process. You become the person who knows where every number comes from — which is genuinely powerful.	Heavy on synthesis and materials. You become the person who can explain any of the four groups to a non-expert.

10.4 The bottom line of each team, and the stakeholders

You asked specifically for the bottom-line goal and whether the deadlines are internal or external. Here it is, without the generic day-in-the-life fluff:

The team's actual bottom line

One number: fee-paying AUM. Not AUM — FPAUM.

The team exists to move money from "committed" to "fee-paying" and to stop it leaving. Every activity ladders up to that.

You can even quantify the leverage. Ares' blended effective management fee is roughly 1% of FPAUM. So **a £100m mandate is worth roughly £1m of recurring annual revenue, for as long as it stays** — and in a perpetual vehicle that is potentially forever. That is why a sales seat here is a revenue seat.

Internal vs external stakeholders

Both, and the internal ones are harder.

- **External:** LPs, investment consultants (Mercer, Aon, bfinance — the gatekeepers who rate managers for pension schemes), private banks and wealth platforms, and their operational due diligence teams.
- **Internal:** the investment teams. This is the real skill. A Credit portfolio manager's time is the scarcest resource in the building, and you need it — for a client meeting, a performance explanation, a DDQ answer. Getting that time, repeatedly, without burning goodwill, **is the job.** Ares' 10-K even names the supporting cast: the relationship team "is supported by product managers and investor relations professionals with deep experience in each of our complementary investment groups."

SAY THIS — THE DIFFERENCE, IN ONE ANSWER

"I'd put it this way: Client Solutions owns the *question* — which investor should own which product and why — and Investor Relations owns the *promise* — making sure what we told them happens, and is reported accurately. At Ares they sit in the same group and I think that's deliberate, because seventy-nine percent of last year's institutional fundraising came from existing investors. When four fifths of your new money comes from people who already own something, servicing well *is* selling. That's also why I'm comfortable applying to both — they're two halves of the same relationship."

PART 11

The customers and the map

Who actually buys from Ares, how that differs from competitors, and why Ares plays where it plays.

11.1 The target audience — and how it splits

Using your shop analogy: Ares has four distinct customer types, and they behave completely differently.

AUM by channel, 31 Dec 2025 — who the \$622.5bn belongs to

INSTITUTIONAL DIRECT — \$470.1bn 76% of AUM · 2,850+ relationships	WEALTH + LISTED \$108.4bn · 17%	INTERM.
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Inside the institutional 76%, by client type:

PENSION FUNDS	INSURANCE	SOVEREIGN	BANKS	INV. MANAGERS / OTHER	HNW / PRIVATE BANK
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Ares discloses this split as a chart rather than a table; widths above are indicative of the disclosed ordering, not exact percentages.

The two structural facts that define the client base:

- \$139.6bn — 30% of institutional AUM — is in separately managed accounts (SMAs), single-client mandates rather than pooled funds. Up from 27% in 2024.
- 79% of 2025 institutional fundraising came from existing investors — either a new product, or the next vintage of one they already own.

Source: Ares FY2025 Form 10-K, Item 1 — Investor Base and Fundraising.

EDGE · WHAT MAKES ARES' CLIENT BASE DIFFERENT FROM PEERS'

Ares is more institutional and more SMA-heavy than the firms it is compared to. While Blackstone has built a consumer-facing brand — its private wealth AUM is ~\$324bn, roughly a quarter of its business — Ares' wealth and listed vehicles are 17% of AUM. Ares is **three-quarters institutional**.

The SMA number is the more interesting one for your role. **Thirty percent of institutional money is in bespoke, single-client mandates**. An SMA is not a product off the shelf — it is a negotiated structure designed around one client's regulatory constraints, return target and risk appetite. That is a **solutions** business, not a **distribution** business, and it is precisely why the team is called Client *Solutions*. It also explains why the function is horizontal: you cannot build a bespoke mandate for an insurer out of one investment group's products.

11.2 Where in the world, and why there

REGION	WHAT ARES DOES THERE	WHY HERE AND NOT ELSEWHERE
North America HQ Los Angeles	The core. US direct lending \$189.6bn, US real estate, PE, all of Secondaries.	Deepest sponsor-backed mid-market in the world and the most developed non-bank lending culture. This is where the model was invented.
Europe London-led	European direct lending \$84.7bn , 100+ investment professionals, 435+ sponsors covered. Plus European logistics and real estate debt.	The genuine differentiator. Europe is hard: multiple legal systems, languages and insolvency regimes. That difficulty is the moat — few can build it, so those who have face less competition than in the US. Ares got in early via its Ares Capital Europe series from 2018 onward.
Asia-Pacific incl. Japan, Australia	APAC credit \$11.5bn, APAC private equity, and — post-GCP — a large Japanese industrial property and J-REIT business.	The growth option. Bought in via SSG (2020) and GCP (2025) rather than built. Japan is singled out in the 2026 priorities: expanding private credit, infrastructure and wealth products for Japanese individual investors .
Latin America	Mexican industrial real estate via Walton Street Mexico.	A focused thematic bet on nearshoring, not a general LatAm push. The 10-K names Latin America and Australia as areas of "strategic initiatives" for expansion.
Middle East	Not an investing region — a capital-raising region. The relationship management team is explicitly located in "North America, Europe, APAC and the Middle East."	Sovereign wealth funds. Note this: the Middle East appears in Ares' <i>distribution</i> footprint, not its investment footprint. A useful distinction to draw in interview.

THE GEOGRAPHY LOGIC IN ONE LINE

Ares invests where banks have retreated and it can be the lead lender; it raises capital where the large pools of long-dated savings sit. Those are not the same map, and conflating them is a common candidate error. Ares lends in the US and Europe; it *fundraises* across the US, Europe, the Gulf and increasingly Japan and Australia.

The application: Dartmouth Partners and how to spend your time

How the screen works, what it weights, and how to rank your effort across the questions.

12.1 What Dartmouth Partners actually is

Dartmouth Partners is a **specialist financial services recruitment agency**, not part of Ares. They are engaged by Ares to run early-careers hiring. This matters practically:

- **They are paid on placement.** Their commercial interest is in you succeeding — but only if you succeed *at Ares*. They are not a neutral careers service; they are a filter with a quota of strong candidates to deliver.
- **They screen before Ares ever sees you.** Their published process runs: application/CV → consultant call → screening and testing → interview with the client → offer. Their own materials describe "a demanding pre-screening process on all candidates" with "technical and competency-based tests," and note that testing depends on the client's needs.
- **They give feedback at every stage.** Unusually, they commit to "detailed feedback after every stage." **Ask for it, always.** This is a genuine asymmetric advantage over applying direct.
- **Reported timelines are short** — one Glassdoor account describes a two-week process. Assume you may go from application to interview quickly.

12.2 CV versus application answers — where the weight sits

You asked how much weight goes on the CV versus the written questions. Neither Ares nor Dartmouth publishes a formula, so treat what follows as a **reasoned model, not a disclosed fact** — but the logic is sound and reflects how agency-run early-careers screens work:

How the weighting shifts as you move through the funnel

Stage 1 — CV sift	CV does ~80% of the work		answers
Stage 2 — written answers	CV	Answers now carry it — this is the differentiator	
Stage 3 — Dartmouth call	CV	consistency with answers	Can you talk? Motivation, polish
Stage 4 — Ares interview	CV	Depth of firm knowledge, commercial judgement, fit — where this report earns its keep	

Practical takeaway: the CV gets you read. The written answers get you called. Nothing you write can rescue a CV that fails the sift — but a strong CV with generic answers dies at stage 2, which is where the majority of well-qualified candidates are actually lost.

This is an inferred model based on how agency-run graduate screens typically function, not a weighting published by Ares or Dartmouth Partners. Treat it as a guide to effort allocation.

12.3 Ranking your three questions

AN ASSUMPTION I HAVE TO FLAG

You mentioned there are three application questions but didn't tell me what they are. What follows is built on the **three standard archetypes** that essentially every alternative-manager early-careers form uses. **Send me the actual questions and I will redo this properly** — including drafting answers against your real CV.

NON-NEGOTIABLE · SPEND 50% OF YOUR TIME

Archetype 1: "Why Ares?" / "Why this firm specifically?"

This is the needle-mover, and it is the one nearly everyone fails. The failure mode is predictable: candidates write about scale, culture and "market-leading platform" — language lifted from the homepage that would apply equally to Blackstone or Blue Owl.

The test: could you swap "Ares" for a competitor's name and have the answer still work? If yes, rewrite it. **What to use instead** — pick two, not five: the 93% perpetual/long-dated fee base; the 55 → 200+ relationship management build-out; the

"nearly half of our distribution partners offer just one Ares product" line from the shareholder letter; the asset-light contrast with Apollo/Athene; European direct lending scale as the real moat. Any one of those proves you read primary documents.

NON-NEGOTIABLE · SPEND 30% OF YOUR TIME

Archetype 2: "Why this role?" / "Why Client Solutions or Investor Relations?"

Second most important, and the one where your two-choice application needs a coherent story. Listing both IR and Client Solutions can read as indecisive unless you frame it — so frame it explicitly using 10.3: they are two halves of one relationship, and at Ares 79% of institutional fundraising comes from existing investors, so servicing and selling are the same motion.

What separates a strong answer: demonstrating you understand this is a *commercial* role, not a support one. Reference that the function sits in the OMG horizontally across all four investment groups — so the job is client-led, not product-led — and that you want the breadth that comes with it. Show you know the bottom line is FPAUM.

NEEDLE-MOVER, BUT CAPPED · SPEND 20% OF YOUR TIME

Archetype 3: "Tell us about a time you..." (competency / behavioural)

Necessary but rarely decisive. These are screened for **structure and evidence**, not creativity. Use STAR (Situation, Task, Action, Result) and make sure there is a **quantified result** — a number, a rank, a percentage, a headcount. Reviewers scan for the result line.

The one upgrade worth making: choose an example that maps onto the actual job. Persuading someone with no obligation to help you; managing a deadline set by somebody else; explaining something technical to a non-expert; keeping a relationship alive over months. Those mirror the internal-stakeholder problem described in 10.4. An example about winning a competition is fine; an example about *getting a busy person to give you their time* is better.

12.4 Vocabulary to deploy — and vocabulary to avoid

Use these — they signal insider fluency

FPAUM (not just AUM) · fee-related earnings / FRE margin · perpetual capital · AUM not yet paying fees or shadow AUM · dry powder · drawdown vs evergreen · semi-liquid · re-up · SMA · DDQ and RFP · sponsor coverage · unitranche · non-accrual · asset-light · asset-based finance (ABF) · catch-up fees · Part I fees.

Avoid these — they signal a website skim

"Market-leading platform" · "I'm passionate about finance" · "world-class culture" · "I want to learn from the best" · "Ares' impressive track record" · any use of "synergies" · and above all, **claiming Ares has been unaffected by the private credit downturn** — it has pro-rated two consecutive tenders and an informed interviewer knows it.

12.5 How much pressure is this, really?

Straightforwardly: **competitive but winnable**. Ares runs a formal, small internship programme — the 10-K describes it as a programme "for students between their junior and senior years of college with the possibility of conversion to a full-time position," spanning "investment, wealth management and institutional fundraising businesses." The London summer analyst programme is ten weeks and only launched in 2023, so cohorts are small.

The realistic assessment: the technical bar for a non-investment role is **lower** than for direct lending or private equity — nobody expects an LBO model. But the bar for **commercial curiosity and communication is higher**, because the job is communication. That is good news for you: the differentiator is depth of firm knowledge and the ability to explain it clearly, and that is *earnable* in a way that a modelling test is not. Almost nobody will have read the 10-Ks. You now have.

Glossary

Every term used in this report, defined. Where Ares defines a term itself, its own wording is used.

TERM	DEFINITION
Alternative asset manager	A firm that manages investments outside public stocks and bonds — private credit, private equity, real estate, infrastructure. Ares is one.
ABF asset-based finance	Lending secured against specific assets or cash flows — receivables, royalties, equipment, aircraft — rather than against a company as a whole. Ares' fastest-growing credit frontier; home of the Pathfinder funds.
AUM	Assets under management. Ares defines it as fund NAV plus drawn and undrawn fund-level debt plus uncalled committed capital. Note this includes borrowed and un-received money — which is why FPAUM matters more.
AUM not yet paying fees "shadow AUM"	Ares' term for "AUM that is not currently paying fees and is eligible to earn management fees upon deployment." \$114.0bn at Q2 2026. Future revenue already contracted.
BDC business development company	A US-regulated vehicle that lends to mid-sized companies and must distribute most of its income. ARCC is listed; ASIF is non-traded. A BDC is how a retail investor can own private credit.
Carried interest "carry"	The manager's share of profits — typically ~20% — payable only after investors get their capital back plus a preferred return. The upside, but lumpy and uncertain.
Catch-up fees	Management fees charged retroactively to investors who join a fund after its first close, so that all investors are treated ratably. Watch for these when comparing quarters — Ares flags when a quarter contains none.
CLO	Collateralised loan obligation. A structured vehicle holding a pool of loans, financed in tranches. ~2–3% of Ares' management fees.
DDQ	Due diligence questionnaire. The long standard document a prospective investor sends before committing. Producing and maintaining these is core Client Solutions work.
Direct lending	Lending straight to a company, negotiated bilaterally, rather than buying a loan syndicated by a bank. \$274.3bn at Ares — 44% of the firm.
Drawdown fund	A fund with a fixed life where investors commit capital that is "called" over time and returned at the end. The traditional model.
Dry powder	Committed but uninvested capital. Ares had \$170.0bn at Q2 2026.
Effective management fee rate	Annualised management fees divided by average FPAUM, excluding catch-up fees. The real blended price the firm charges.
Evergreen / perpetual	A vehicle with no fixed end date. See perpetual capital.
FPAUM	Fee-paying AUM — the portion of AUM actually generating a management fee today. \$409.9bn at Q2 2026. The number that drives revenue.
FRE	Fee-related earnings. Profit from management and recurring fees only, excluding volatile performance income. The quality-of-earnings measure. \$491.1m in Q2 2026, up 20%.
GP / LP	General Partner (the manager — Ares) and Limited Partner (the investor). "LP" is used constantly as a synonym for "client."
Hurdle rate	The minimum return a fund must deliver before the manager earns performance fees. ARCC's Part I hurdle is 1.75% per quarter (7% a year).

IRR / MoIC	Internal rate of return (annualised %) and multiple of invested capital (e.g. 1.3x). The two standard measures of fund performance. Always check gross vs net — net is after fees.
Non-accrual	A loan where the borrower has stopped paying and the lender stops booking interest income. The single most important health metric in private credit. Ares: under 2% in US direct lending; 0.5% in the non-traded BDC.
OMG Operations Management Group	Ares' shared services function — including Client Solutions, Investor Relations and wealth distribution. Costs are not allocated to investment segments. 2,550+ people; \$808.2m of cost in 2025.
Part I / Part II fees	Part I: a quarterly fee on net investment income of certain listed and perpetual vehicles — recurring, so Ares counts it as a management fee. Part II: an annual fee on realised capital gains.
Perpetual capital	Ares' definition: AUM of vehicles that "have an indefinite term, are not in liquidation, and for which there is no immediate requirement to return invested capital." \$223.3bn at Q2 2026, up 34% YoY.
Re-up	An existing investor committing to the next vintage of a fund they already own. The lifeblood — 79% of Ares' 2025 institutional fundraising came from existing investors.
RFP	Request for proposal. A formal competitive tender, often run by an investment consultant on behalf of a pension scheme. Ares has a dedicated RFP team within Global Client Solutions.
RI realized income	FRE plus performance income actually realised in cash. FRE was 96% of RI in 2025 — i.e. almost all of Ares' income is fee income.
Semi-liquid	A vehicle offering periodic — usually quarterly — limited redemptions, typically capped at ~5% of shares. The standard wealth-channel structure. Ares ended 2025 with eight such products.
SMA	Separately managed account. A bespoke single-client mandate rather than a pooled fund. \$139.6bn — 30% of Ares' institutional AUM.
Sponsor	A private equity firm that buys companies. Ares' direct lending business exists largely to finance sponsors' acquisitions — hence "sponsor coverage."
Tender offer	The mechanism by which a non-traded fund buys back shares from investors who want out. When requests exceed the cap they are pro-rated . ASIF pro-rated in both Q1 and Q2 2026.
Unitranche	A single loan blending senior and subordinated debt into one instrument at one blended rate. Faster and simpler for the borrower — a key reason companies choose private credit over a bank syndicate.
Vintage	The year a fund started investing. Vintages matter enormously: a 2021 vintage deployed at peak valuations, a 2026 vintage deploys into wider spreads.
Waterfall	The order in which fund cash is distributed. European-style: investors get all capital plus preferred return before the GP sees carry. American-style: carry is paid deal-by-deal. Ares' credit funds mostly use European-style — better for investors.

Sources

Where every claim in this report comes from, so you can verify anything before you quote it.

Primary sources — the backbone of this report

The great majority of figures here come from documents Ares filed with the US Securities and Exchange Commission. These are legally binding, signed by the CEO and CFO, and are the highest grade of evidence available. All are free at sec.gov under CIK 0001176948.

DOCUMENT	FILED	USED FOR
Form 10-K, FY2025	25 Feb 2026	The core of Parts 1–3, 5, 10, 11, 13. Segment AUM, fund performance tables, fee schedules, glossary definitions, investor base, OMG description, competition and risk factors.
Form 10-K, FY2024	27 Feb 2025	Part 4 longitudinal analysis — AUM, fundraising, headcount, relationship management team size, word-frequency comparison, segment naming changes, insurance AUM trend, SMA percentages.
Form 10-K, FY2023	27 Feb 2024	
Form 10-K, FY2022	24 Feb 2023	
Form 10-K, FY2021	28 Feb 2022	
Form 10-K, FY2020 & FY2019	25 Feb 2021 / 28 Feb 2020	
2025 Annual Shareholder Letter Form ARS	21 Apr 2026	The "asset-light balance sheet approach" quote; 2026 priorities; the "nearly half of our distribution partners offer just one Ares product" statistic; GCP integration; Marq Logistics and Ada Infrastructure; S&P 500 inclusion; 2025 key metrics.
Q2 2026 earnings call, release and slides	Jul–Aug 2026	\$671.3bn AUM, \$409.9bn FPAUM, \$36.4bn raised, \$491.1m FRE, 42.2% margin, \$223.3bn perpetual capital, \$170.0bn dry powder, non-accrual rates, insurance FPAUM +54%, Arougheti quotes.

Secondary sources

- **Ares press releases via Businesswire** — GCP International acquisition (\$3.7bn, Oct 2024 announcement); Landmark Partners and Black Creek completions (June/July 2021); Aspida \$2.3bn equity commitments (Jan 2025); Pathfinder III \$8.5bn close (June 2026); SME \$3.7bn (Sept 2022); Sarah Cole appointment as Co-Head of Global Capital Solutions (July 2025).
- **Bloomberg** — ASIF redemption caps (June 2026); ACE IV €3bn secondaries bundling (July 2026); "Private Credit Makes a Big Pivot as Direct Lending Funds Shrink" (Aug 2026); Ares 2014 IPO debut.
- **Pensions & Investments, Private Equity Wire, PitchBook, AltsWire, Alternatives Watch** — private credit fundraising and deployment data; direct lending volume declines; non-traded BDC fundraising down 82%; BDC redemption peak analysis.
- **Cambridge Associates** — assessment that First Brands and Tricolor were idiosyncratic and fraud-driven rather than systemic.
- **KBRA** — direct lending default rate forecast of 1.5% for 2025 (down from 1.8% in 2024).
- **Morningstar, Yahoo Finance, Zacks/Benzinga, Fortune, Reuters** — peer AUM comparisons, credit-concentration percentages, 2026 share price performance, sector redemption comparisons.
- **NAIC and Chicago Fed working papers** — insurer allocation to private credit (~\$1tn of ~\$6tn), risk-based capital and asset adequacy testing context used in Part 3.
- **Dartmouth Partners** — published FAQ, candidate and early-careers pages describing the five-stage process and pre-screening; Glassdoor interview reports for timeline.
- **Wall Street Oasis** — Ares company reviews and the Global Client Solutions pay-structure discussion, used only for directional colour on culture and compensation.
- **Wikipedia and Milken Institute** — Ares founding history, Ressler/Kissick/Rosenthal biography, Apollo relationship. Cross-checked against SEC filings where possible.

HONESTY NOTES — READ BEFORE YOU QUOTE ANYTHING

- **The relationship management headcount series has a definitional break.** FY2019–20 disclosed a combined "strategy and relationship management teams" figure (~120, ~140); FY2021 onward narrowed to relationship management alone. The 55 → 200+ comparison (FY2022 → FY2025) is like-for-like; do not compare it to the 2019 number.
- **The word-frequency analysis in 4.2 is my own count** of the full text of each 10-K, not an Ares disclosure. It is reproducible but it is an interpretation, so present it as an observation rather than a fact.
- **The CV-versus-answers weighting in 12.2 is an inferred model**, not published by Ares or Dartmouth Partners.
- **Peer AUM figures are approximate** and measured on different bases between firms — Brookfield reports fee-bearing capital, others report total AUM. Use them for order of magnitude, not precision.
- **The question ranking in 12.3 assumes three standard archetypes** because the actual questions were not available. Verify against the real form.
- **Fund performance figures are as at 31 December 2025** and are historical. Past performance is not indicative of future results.

If you remember only five things

1. **93% of management fees come from perpetual or long-dated capital.** That is why Ares is resilient — not an insurance balance sheet.
2. **Ares calls itself "asset-light."** It is the largest credit-concentrated manager that has *not* bought an insurer. Apollo owns Athene; KKR owns Global Atlantic; Ares owns neither.
3. **The sales team went from 55+ to 200+ in three years**, plus 175+ in wealth. The firm's answer to a hard fundraising market was more distribution.
4. **"Nearly half of our global distribution partners currently offer just one Ares product."** That sentence from the shareholder letter is the commercial rationale for your job.
5. **Ares raised a record \$36.4bn in Q2 2026** while industry non-traded BDC fundraising fell 82% — but it also pro-rated two consecutive ASIF tenders. Hold both facts at once.